**SECTION 1 – Fullward**

*All journal entries are in £'000.*

**QUESTION 1 – Financial liabilities (11 marks)**

*Loan*

The interest on the loan should have been debited to the loan account rather than to finance costs in the statement of profit or loss.

The finance cost is calculated by applying the effective interest rate to the opening balance.

Finance cost = £12,400k x 6.4% = £794k

Increase in finance cost = £794k - £490k = £304k

| | | | | |
|---|---|---|---|---|
| **JE 1** | Dr | SPL – finance cost | 304 | |
| | Cr | Loan | | 304 |
| | Being adjustment to finance cost | | | |

*Bonds*

As the policy of Jiltz is to minimise or eliminate accounting mismatches the bonds should be accounted for at FVTPL.

The issue costs of the bonds should be debited to profit or loss and removed from the suspense account.

The gain or loss in fair value of the bonds at 31 May 2025 should be presented in profit or loss.

| | | | | |
|---|---|---|---|---|
| **JE 2** | Dr | SPL – administrative expenses *(or similar)* | 35 | |
| | Cr | Suspense account | | 35 |
| | Being correction to recording issue costs of bonds | | | |

Change in fair value = £3,140k - £3,000k = £140k loss

| | | | | |
|---|---|---|---|---|
| **JE 3** | Dr | SPL – loss in fair value of bonds | 140 | |
| | Cr | Bonds | | 140 |
| | Being change in fair value of bonds | | | |

**(Total: 11 marks)**

**Question 2 – Disclosure of significance of financial liabilities (4 marks)**

*Statement of financial position*

Jiltz must separately disclose the carrying amount of the loan liability measured at amortised cost and the carrying amount of the bonds measured at fair value through profit or loss (FVTPL).

The carrying amount of financial liabilities measured at FVTPL must be split into amounts that are required to be measured as FVTPL and those that are designated as measured at FVTPL such as the bond which is measured at FVTPL to address an accounting mismatch.

*Statement of profit or loss*

Jiltz must disclose the total finance cost of financial liabilities carried at amortised cost, which is £794,000 relating to the loan.

Jiltz must also disclose the net gains and losses on financial instruments measured at FVTPL and amortised cost, which is £934,000 made up of the fair value loss of £140,000 on the bonds designated at FVTPL and the finance cost of £794,000 relating to the loan.

**(Total: 4 marks)**

**Question 3 – Statement of cash flows extract (15 marks)**

**Wyndott Ltd**
**Statement of cash flows for the year ended 30 June 2025 (extract)**

| | *£'000* |
|---|---|
| **Cash flows from operating activities** | |
| Profit before taxation | 4,355 |
| Adjustments for: | |
| Finance cost | 130 |
| Depreciation | 680 |
| Fair value gain | (270) |
| | 4,895 |
| Increase in inventories (W1) | (250) |
| Decrease in trade receivables (W1) | 170 |
| Increase in trade payables (W1) | 118 |
| Increase in other payables (W1) | 15 |
| Cash generated from operations | 4,948 |
| Interest paid (W2) | (121) |
| Income taxes paid (W3) | (800) |
| Net cash from operating activities | 4,027 |

*Workings:*

*1. Working capital movements*

| | *Inventories £'000* | *Trade receivables £'000* | *Trade payables £'000* | *Other payables £'000* |
|---|---|---|---|---|
| At 30 June 2024 | 980 | 1,350 | 852 | 96 |
| Less: interest payable | | | | (35) |
| At 30 June 2025 | 1,230 | 1,180 | 970 | 120 |
| Less: interest payable | | | | (44) |
| Increase/(decrease) | 250 | (170) | 118 | 15 |

*2. Interest paid*

| | *£'000* |
|---|---|
| Opening interest payable | 35 |
| Finance cost for year | 130 |
| Less: closing interest payable | (44) |
| Interest paid | 121 |

*3. Income taxes paid*

| | *£'000* |
|---|---|
| Opening current tax | 430 |
| Tax expense for the year | 960 |
| Less: deferred tax charge | (80) |
| Less: closing current tax | (510) |
| Income taxes paid | 800 |

**(Total: 15 marks)**

**Question 4 – Events after the end of the accounting period (9 marks)**

*Flood damage*

As the flood occurred after the reporting date of 31 July 2025 it does not affect conditions existing at that date and therefore this is a non-adjusting event.

Disclosures should be included in the financial statements for the year ended 31 July 2025 if the damage is considered to be material.

Disclosure should include the nature of the event and the estimated financial impact of £210,000.

*Insurance claim*

The acceptance of the claim gives additional information of conditions existing at 31 July 2025 (the lodged claim with unknown outcome) and is an adjusting event.

A receivable (accrued income) and the expected income of £468,000 should be recognised in the financial statements for the year ended 31 July 2025.

*Customer entering administration*

The information gives additional information about the likely ability of the customer to settle the £134,000 debt at 31 July 2025 and is therefore an adjusting event.

As no amounts will be collected, the receivables balance should be derecognised and the amount recognised as a loss in profit or loss for the year ended 31 July 2025.

*Restructuring*

This is a non-adjusting event as Wyndott has no obligation at 31 July 2025 as no announcement has been made to affected parties by that date.

As it is a major restructuring and likely to be material, disclosure should be made of the main features of the restructuring and the estimated financial impact.

**(Total: 9 marks)**

**SECTION 2 – Feesant**

*All journal entries are in £'000.*

**QUESTION 5 – Consolidation journal entries (27 marks)**

*Pre-consolidation Step 1 – translation of financial statements* – N/A as no OCI balance for Vittoro

*Pre-consolidation Step 2 – retranslation of opening net assets and retained profit for the period*

Retained profit for the year ended 30 June 2025 = €1,820k - €400k = €1,420k

*Translation gain/(loss)*

| | *At 30 June 25* | *At 1 July 24* | *Gain/(loss)* |
|---|---|---|---|
| *Opening balances* | | | *£'000* |
| Share capital | €2m/1.14 | €2m/1.20 | |
| | = £1,754k | = £1,667k | 87 |
| Retained earnings | €3.6m/1.14 | €3.6m/1.20 | |
| | = £3,158k | = £3,000k | 158 |
| *Retained profit for year* | | *Average rate* | |
| | €1.42m/1.14 | €1.42m/1.16 | |
| | = £1,246k | = £1,224k | 22 |
| Total gain | | | 267 |

| | | | | |
|---|---|---|---|---|
| **JE 1** | Dr | Share capital | 87 | |
| | Dr | Retained earnings | 180 | |
| | | Cr OCI - Translation reserve | | 267 |
| | Being exchange gain for the year | | | |

*Step 2 – goodwill and NCI at the date of acquisition*

| | *€'000* | *Rate* | *£'000* |
|---|---|---|---|
| Cost | 5,460 | £1=€1.20 | 4,550 |
| NCI (10% x €5,600k) | 560 | £1=€1.20 | 467 |
| | 6,020 | | 5,017 |
| Share capital | 2,000 | £1=€1.20 | 1,667 |
| Retained earnings | 3,600 | £1=€1.20 | 3,000 |
| | 5,600 | | 4,667 |
| Goodwill at 1 July 2024 | 420 | | 350 |
| Impairment (20%) | (84) | £1=€1.16 | (72) |
| Exchange gain | | | 17 |
| Goodwill at 30 June 2025 | 336 | £1=€1.14 | 295 |

| | | | | |
|---|---|---|---|---|
| **JE 2** | Dr | Share capital | 1,667 | |
| | Dr | Retained earnings | 3,000 | |
| | Dr | Goodwill | 350 | |
| | | Cr NCI (SOFP) | | 467 |
| | | Cr Investment | | 4,550 |
| | Being goodwill on acquisition | | | |

| | | | | |
|---|---|---|---|---|
| **JE 3** | Dr | Goodwill | 17 | |
| | | Cr OCI - Translation reserve | | 17 |
| | Being exchange gain on goodwill | | | |

*Step 3 – impairment of goodwill*

| | | | | |
|---|---|---|---|---|
| **JE 4** | Dr | SPL – impairment loss | 72 | |
| | | Cr Goodwill | | 72 |
| | Being impairment loss on goodwill | | | |

*Step 4 = N/A*

*Step 5 – share of profit and gains for the current year to non-controlling interests*

Profit for the year = €1,820k/1.16 = £1,569k
NCI share of profit = 10% x £1,569k = £157k
NCI share of exchange gain = 10% x £267k = £27k

| | | | | |
|---|---|---|---|---|
| **JE 5** | Dr | SPL – NCI | 157 | |
| | Dr | OCI - Translation reserve | 27 | |
| | | Cr NCI (SOFP) | | 184 |
| | Being NCI share of profit and translation gain | | | |

*Step 6 – internal dividend*

Group share of dividend = (€400k x 90%)/1.16 = £310k
NCI share of dividend = (€400k x 10%)/1.16 = £34k

| | | | | |
|---|---|---|---|---|
| **JE 6** | Dr | SPL – finance income | 310 | |
| | Dr | NCI (SOFP) | 34 | |
| | | Cr Retained earnings | | 344 |
| | | Being elimination of dividend paid | | |

*Primstone*

*Step 5 – NCI share of revaluation gain*

NCI share of surplus = 30% x £320,000 = £96k

| | | | | |
|---|---|---|---|---|
| **JE 7** | Dr | OCI - Revaluation surplus | 96 | |
| | | Cr NCI (SOFP) | | 96 |
| | | Being NCI share of revaluation surplus | | |

*Step 6 – internal loan*

| | | | | |
|---|---|---|---|---|
| **JE 8** | Dr | Loan payable *(or similar)* | 550 | |
| | | Cr Loan receivable *(or similar)* | | 550 |
| | | Being elimination of internal loan | | |

**(Total: 27 marks)**

**QUESTION 6: consolidated statement of other comprehensive income (5 marks)**

**Feesant plc**

**Consolidated statement of other comprehensive income for the year ended 30 June 2025**

| | *Feesant* | *Vittoro* | *Primstone* | *JE 1* | *JE 3* | *JE5* | *JE7* | *Total* |
|---|---|---|---|---|---|---|---|---|
| | *£'000* | *€'000* | *£'000* | *£'000* | *£'000* | *£'000* | | *£'000* |
| *Items that will not be reclassified to profit or loss* | | | | | | | | |
| Gains on revaluation | 670 | - | 320 | | | | (96) | 894 |
| *Items that may be reclassified subsequently to profit or loss* | | | | | | | | |
| Exchange differences on translating foreign operations | | | | 267 | 17 | (27) | | 257 |
| **Other comprehensive income for the year** | | | | | | | | 1,151 |

**(Total: 5 marks)**

**Question 7: Investment in Klifftown (10 marks)**

*(a) Accounting treatment*
As Feesant has a shareholding of more than 20% the presumption under IAS 28 is that it will have significant influence over Klifftown unless there is information to the contrary.

There is no information to the contrary as there are no other significant shareholdings in Klifftown's ordinary shares and the preference shares are not relevant as they carry no votes.

Klifftown is therefore an associate of Freesant.

Klifftown will be accounted for using the equity accounting method in Freesant's consolidated financial statements.

*(b) Accounting in the consolidated financial statements*
*Initial investment*
The investment in associate will be recognised as a non-current asset in the consolidated statement of financial position, initially recognised at the fair value of the consideration paid to acquire the investment.

*Bargain purchase*
The bargain purchase will increase the investment in associate in the consolidated statement of financial position.

The bargain purchase will be credited to the consolidated statement of profit or loss, presented within the share of profit or loss of the associate.

*Loss for the period*
The group share of the loss for the period will be credited to the investment in associate in the statement of financial position.
The group share of the loss will be presented within the share of profit or loss of the associate in the consolidated statement of profit or loss.

*Sale of goods to Klifftown*
As all the goods are expected to be sold by Klifftown by 30 June 2026, there will be no unrealised profit in inventories at that date and no adjustment will be required.

**(Total: 10 marks)**

## SECTION 3 – Gallow

*All journal entries are in £'000.*

### QUESTION 8 – Director's remuneration disclosure (6 marks)

*a) Why the highest paid director disclosure is required*

Details of the highest paid director must be disclosed if the aggregate emoluments of all directors is £200,000 or more.

The calculation of aggregate emoluments includes salary, fees, bonuses, benefits in kind, amounts paid under long term incentive schemes and gain on the exercise of share options. However, it does not include company pension contributions.

The aggregate emoluments of Gallow directors is £202,000 based on salary and long-term incentive scheme payments and therefore disclosure of the highest paid director is required.

| | *M Spector £'000* | *S Bennett £'000* | *B Javir £'000* | *Total £'000* |
|---|---|---|---|---|
| Salary | 60 | 40 | 90 | 190 |
| LTIS | - | 12 | - | 12 |
| Emoluments | 60 | 52 | 90 | 202 |
| Pension costs | 16 | 14 | 18 | 48 |
| Director's remuneration | 76 | 66 | 108 | 250 |

*b) What should be included in the disclosures*

The name of the highest paid director, which is B Javir

The emoluments paid to B Javir of £90,000, and Gallow's contribution to the defined contribution pension scheme of £18,000 must be disclosed.

**(Total: 6 marks)**

**QUESTION 9 – Sustainability report (8 marks)**

*Conclusion*

The draft sustainability report extract partially complies with *ESRS S1-16*: remuneration metrics but omits key elements necessary for transparency and meeting stakeholder expectations.
*Para. 95*

Paragraph 95 has been partly complied with as the percentage gap in pay between its permanent, full time male and female employees has been disclosed.
To fully comply with paragraph 95, Gallow should disclose the ratio of the highest paid individual to median total remuneration.

*Para. 97 (a)*

The report does include the gender pay gap as a percentage difference between average male and female earnings which meets this requirement.

*Para. 97 (c)*

The statement lacks contextual information to understand the data and how it was compiled and therefore does not meet the requirements of paragraph 97(c).
To enhance credibility and stakeholder confidence, Gallow should provide detailed contextual information, including the standards, methodologies, and assumptions used to calculate gender pay metrics.
*Appendix Requirement 98*

The gender pay gap calculation only includes permanent, full-time employees and therefore does not meet the requirements of Appendix Requirement 98.

Gallow should include all employees within the gender pay gap calculation, including any part-time or temporary employees.

**(Total: 8 marks)**

**QUESTION 10 – Ethics and greenwashing (5 marks)**

*Issue*

The managing director is proposing that information about gender pay gap is omitted or exaggerated when framing the sustainability reporting and that Gallow is presented as an industry leader, despite acknowledging internal work to do in that area

This is a deliberate attempt to create a false impression of Gallow's performance in respect of gender pay which constitutes a social form of greenwashing (social washing).

*Objectivity*

The managing director is showing a lack of objectivity as they are keen to report positive information about the gender pay gap as they are responsible for progress in this area and want to be seen to have made a positive impact. The managing director is therefore biased in their view of the reporting.

*Integrity*

The manging director is showing a lack of integrity by saying "we want to give the impression that everything is fair and equitable". This explicitly signals dishonesty.

*Professional behaviour*

The managing director is showing a lack of professional behaviour with attempting to omit relevant information around the 12%. This shows a deliberate failure to comply with ESRS standards and risks damaging the reputation of the profession.

**(Total: 5 marks)**

**END OF SOLUTION**